Economy Topic 9 — External Sector, Foreign Trade and Global Economy

Comprehensive Study & Revision Notes

> **Key Reference Framework:** NCERT Class 12 Macroeconomics (Open Economy Macroeconomics), Reserve Bank of India (RBI) Bulletins and BoP Manuals, Ministry of Commerce Foreign Trade Statistics, WTO Analytical Index, and State Public Service Commission Examination archives. **Exam Weightage:** High — Frequently tested on Balance of Payments classification (Current Account vs Capital Account components), flexible exchange rate dynamics, top remittance recipients, FEMA 1999 enactment vs commencement dates, and WTO dispute settlement principles.

Current Affairs & Key Indicators

Year / Topic	Key Development & Core Metric	Analytical & Policy Significance
BoP Current Account Scope	Merchandise trade (export and import of physical goods) is recorded on the **Current Account**.	Foreign Direct Investment (FDI), External Commercial Borrowings (ECBs), and IMF facilities are classified under the Capital/Financial Account.
Flexible Exchange Rate Mechanism	In a flexible or floating exchange rate regime, currency values are determined purely by market demand and supply of foreign exchange.	The central bank does not arbitrarily fix demand and supply; it participates only to moderate extreme, disorderly market volatility.
Global Remittances (World Bank)	Global remittance inflows rank: **1. India, 2. Mexico, 3. China, 4. Philippines**.	Remittances represent unrequited private current transfers, acting as a vital counterbalance against India's merchandise trade deficit.
Foreign Direct Investment Inflows	**Singapore** and the **United States** consistently rank among the top sources of FDI equity inflows into India.	Shifted away from legacy tax-haven routing (Mauritius) following the introduction of GAAR and Double Taxation Avoidance Agreement (DTAA) amendments.
FEMA Legislative Milestones	The Foreign Exchange Management Act (FEMA) was enacted in **1999** and came into legal force on **1 June 2000**.	Replaced the penal, control-oriented Foreign Exchange Regulation Act (FERA, 1973) with a civil, trade-facilitation framework.
Regulatory Architecture of FERA	FERA (1973) was formulated to conserve scarce foreign exchange reserves during balance of payments crises.	It was not an external-debt liability statute; contraventions under FERA were criminalized, whereas FEMA treats violations as civil offenses.
WTO 13th Ministerial Conference (MC-13)	Convened in **Abu Dhabi (United Arab Emirates)** from 26 February to 1 March 2024.	Extended the electronic transmission customs duty moratorium; formally admitted **Comoros (165th)** and **Timor-Leste (166th)** as new member states.

Year / Topic	Key Development & Core Metric	Analytical & Policy Significance
WTO 14th Ministerial Conference (MC-14)	Formally decided to be hosted in **Yaoundé, Cameroon in 2026**.	**Second WTO Ministerial Conference in history to be hosted on African soil** (following MC-10 Nairobi in 2015). Permanent WTO HQ remains in Geneva (Switzerland).

9.1 International Trade, Balance of Trade, and Balance of Payments

International trade represents the economic interchange of goods, services, and productive capital across sovereign territorial boundaries.

- **Exports:** Goods and commercial services sold by domestic economic agents to non-residents, generating foreign exchange inflows (credit entries in BoP).
- **Imports:** Goods and commercial services purchased by domestic residents from non-residents, requiring foreign exchange outflows (debit entries in BoP).
- **Visible vs Invisible Trade:** Visible trade consists exclusively of tangible physical merchandise; invisible trade consists of intangible services, financial earnings, and unilateral private transfers.
- **India's Trade Composition:**
- Major export sectors include refined petroleum products, engineering goods, electronic goods, pharmaceuticals, chemicals, and gems and jewelry.
- Major import items are dominated by crude petroleum and mineral fuels, gold, electronic components, machinery, and coal.
- While India typically runs a substantial deficit in merchandise trade, it maintains a robust surplus in invisible trade driven by software exports, business services, and diaspora remittances.

Balance of Trade (BoT)

- **Definition:** The mathematical difference between the monetary value of merchandise exports (X_m) and merchandise imports (M_m) over an accounting period:

> **Formula:** `BoT = Exports (X_m) - Imports (M_m)`

- **Scope:** Captures physical, visible goods exclusively; it does not incorporate services, interest, dividends, or remittances.
- **Structural Reality:** A trade surplus denotes visible exports exceeding visible imports; a trade deficit denotes merchandise imports exceeding exports. India historically operates with a merchandise trade deficit.

Balance of Payments (BoP) Accounting

- **Comprehensive Scope:** The Balance of Payments is a systematic double-entry statistical ledger recording all economic transactions between residents of a country and non-residents over a designated year.

- **Accounting Identity:** Under standard double-entry bookkeeping, every transaction involves an offsetting credit and debit. The overall Balance of Payments identity algebraically balances:

> **Identity:** `Current Account Balance + Capital Account Balance + Financial Account Balance + Errors and Omissions = 0`

The Current Account

The Current Account records international economic transactions that do not alter the external asset or liability status of a country. It encompasses four major components:

1. **Merchandise Trade (Goods):** Exports and imports of physical goods.
2. **Services (Invisibles):** Software services, travel and tourism, maritime transportation, telecommunications, insurance, and financial services.
3. **Primary Income:** Cross-border compensation of employees and net investment income (profits, dividends, and debt service interest).
4. **Secondary Income (Current Transfers):** Unilateral, unrequited transfers such as remittances sent by migrant workers, overseas grants, and gifts.

The Capital Account

The Capital Account (and Financial Account) tracks transactions resulting in the acquisition or disposal of foreign assets and liabilities by domestic residents:

- **Foreign Direct Investment (FDI):** Non-resident capital equity investment in domestic enterprises involving managerial control or long-term interest.
- **Foreign Portfolio Investment (FPI):** Cross-border financial investments in corporate shares, government securities, and bonds.
- **External Commercial Borrowings (ECBs):** Medium- and long-term commercial loans raised by domestic companies from international capital markets.
- **Banking Capital:** Foreign currency non-resident (FCNR) bank deposits and external banking liabilities.
- **Official Assistance & Multilateral Loans:** Concessional loans and financing facilities from bilateral partners, the World Bank, or the IMF.

Trade Deficit vs Current Account Deficit (CAD)

- The **trade deficit** measures only the shortfall in visible merchandise trade (Exports – Imports).
- The **Current Account Deficit (CAD)** represents the net deficit of the entire current account after offsetting the merchandise trade gap against invisible services exports, primary income, and private remittances.
- Financing a CAD requires net capital inflows (through FDI, FPI, or foreign borrowings) or a compensatory drawdown of official foreign exchange reserves.

Q-EC1. UPPCS (Pre) 2024

Which of the following is included in the current account of the Balance of Payments?

A. Foreign Direct Investment B. External Commercial Borrowings C. Export and import of goods D. IMF loans

Show answer

Explanation: In Balance of Payments accounting, the Current Account covers transactions involving goods (merchandise export and import), services (invisibles), primary income, and secondary current transfers. In contrast, Foreign Direct Investment (FDI), External Commercial Borrowings (ECBs), and loans from international institutions such as the IMF alter the external asset-liability position of residents and are recorded strictly on the Capital/Financial Account.

Ans: C. Export and import of goods

9.2 Foreign Exchange Reserves, Exchange Rate Regimes, and Convertibility

Foreign exchange reserves represent the official liquid assets denominated in foreign currencies held by the central bank (Reserve Bank of India).

Composition of India's Foreign Exchange Reserves

The RBI holds foreign exchange reserves in four distinct asset categories:

1. **Foreign Currency Assets (FCA):** The dominant component (comprising approximately 85–90%), invested in US Treasury bonds, sovereign government securities, and liquid deposits with foreign central banks.
2. **Gold:** Physical gold held at the RBI and overseas with the Bank of England and Bank for International Settlements (BIS).
3. **Special Drawing Rights (SDRs):** International reserve assets created by the IMF in 1969 to supplement member countries' official reserves.
4. **Reserve Tranche Position (RTP):** The proportion of a member country's quota with the IMF that can be accessed unconditionally without service fees or economic conditionalities.

Exchange Rate Regimes

- **Nominal Exchange Rate:** The rate at which one currency can be exchanged for another.

Exchange Rate Regime	Determining Mechanism & Operational Parameters
Flexible / Floating	The exchange rate is determined entirely by the unconstrained interplay of market demand and market supply in foreign currency markets.
Fixed / Pegged	The exchange rate is officially pegged by the monetary authority to an anchor currency (e.g., US dollar) or currency basket, defended through official intervention.
Managed Float ("Dirty Float")	The exchange rate is primarily market-driven, but the central bank actively intervenes (buying/selling forex) to dampen excessive volatility and maintain macro stability.

- **India's Regime:** India operates a **managed float regime**. The exchange rate is fundamentally determined by market forces, with the RBI intervening selectively to prevent speculative runs and disorderly market conditions.

Exchange Rate Terminologies

- **Appreciation:** An increase in the market value of the domestic currency relative to foreign currencies under a floating exchange rate mechanism (e.g., Rupee moving from ₹84/USD to ₹80/USD).
- **Depreciation:** A decrease in the market value of the domestic currency relative to foreign currencies under a floating exchange rate mechanism (e.g., Rupee moving from ₹80/USD to ₹84/USD).
- **Devaluation:** An official, deliberate administrative reduction in the fixed exchange parity of the domestic currency enacted by monetary authorities under a pegged exchange rate system.
- **Revaluation:** An official, deliberate administrative upward adjustment in the fixed exchange parity of the domestic currency enacted by monetary authorities under a pegged exchange rate system.
- **Trade Effects:** Currency depreciation or devaluation makes domestic exports more price-competitive abroad while making foreign imports more expensive domestically, which works to improve the trade balance subject to the Marshall-Lerner condition.

Currency Convertibility

- **Convertibility** is the legal entitlement to freely convert domestic currency into foreign currencies at market-determined rates without official rationing or administrative license.
- **Current Account Convertibility:** Unrestricted freedom to convert currency for cross-border trade in goods, services, travel, education, and normal remittances. India adopted full current account convertibility in **August 1994** under Article VIII of the IMF.
- **Capital Account Convertibility (CAC):** Freedom to convert local financial assets into foreign financial assets (and vice versa) at market rates. India maintains calibrated, partial capital account convertibility to insulate its financial system from sudden capital outflows and speculative contagion.
- **Tarapore Committees (1997 and 2006):** Appointed by the RBI to establish a roadmap for full Capital Account Convertibility. They recommended meeting foundational macroeconomic prerequisites:
- Gross fiscal deficit reduced to less than 3.5% of GDP.
- Mandated inflation target maintained within 3–5%.
- Gross Non-Performing Assets (NPAs) of the banking sector reduced below 5%.
- Adequate foreign exchange reserves maintained to cover at least 6 months of imports.

Q-EC2. UPPCS (Pre) 2024

Given below are two statements, one is labelled as Assertion (A) and the other as Reason (R).

Assertion (A): The value of national currency determined by demand and supply of foreign currency is called flexible exchange rate.

Reason (R): Demand and supply of the foreign currency is being determined by the Central Bank.

Select the correct answer from the codes given below:

A. Both (A) and (R) are true and (R) is the correct explanation of (A). B. (A) is false, but (R) is true. C. Both (A) and (R) are true, but (R) is not the correct explanation of (A). D. (A) is true, but (R) is false.

Show answer

Explanation: Assertion (A) is correct: A flexible (or floating) exchange rate is formally defined as an exchange rate regime where the market value of the national currency is determined organically by the interaction of demand and supply of foreign exchange in international currency markets. Reason (R) is false: In a flexible exchange rate regime, market demand and supply are determined by international trade, cross-border investments, remittances, and market participants—not determined or set by the Central Bank.

Ans: D. (A) is true, but (R) is false.

Q-EC3. UKPCS (Pre) 2021

The rise in value of one currency relative to another is –

A. A weakening of a currency B. A depreciation of a currency C. An appreciation of a currency D. A debasement of a currency

Show answer

Explanation: In macroeconomic terminology, an increase in the market purchasing value of one currency relative to another under a market-determined exchange rate system is termed an appreciation of the currency. Conversely, a decline in relative market value is termed depreciation. Debasement refers to reducing the precious metal content of coinage.

Ans: C. An appreciation of a currency

9.3 Capital Flows — FDI, FPI, Remittances, and External Debt

Capital flows finance national current account deficits, augment domestic capital formation, and transfer technology from overseas.

Foreign Direct Investment (FDI) vs Foreign Portfolio Investment (FPI)

- **Foreign Direct Investment (FDI):**
- Entails long-term capital investment by a non-resident entity in an enterprise located in another country, accompanied by active management control or substantial influence (at least 10% voting equity).
- Inflows take the form of equity capital, reinvested earnings, and intra-company loans.
- Brings advanced production technology, managerial expertise, and integration into global value chains.
- Entry Routes in India: **Automatic Route** (no prior government or RBI approval required) and **Government Approval Route** (scrutinized by respective administrative ministries).
- **Foreign Portfolio Investment (FPI):**

- Involves passive purchases of financial securities (shares, corporate debt, sovereign bonds) traded on domestic stock exchanges without acquiring management control.
- Characterized by high market liquidity and short investment horizons, making it susceptible to rapid capital reversals ("hot money").

Global Inward Remittances

- **Definition:** Private household-to-household transfers sent by overseas migrant workers to family members in their country of origin.
- **BoP Recording:** Recorded as secondary income credits under the Current Account.
- **Significance:** Remittances represent a non-debt-creating external financial flow that directly bolsters foreign exchange reserves and household consumption.
- **Top Recipient Nations (World Bank 2022 Ranking):** 1. **India** (over USD 100 billion) 2. **Mexico** 3. **China** 4. **Philippines**

External Debt Structure

- **External Debt:** The total liabilities owed by residents (sovereign government, financial institutions, and non-financial corporations) to non-resident creditors.
- **Classification by Maturity:**
- Long-term debt (original maturity greater than one year).
- Short-term debt (original maturity up to one year); high short-term debt ratios heighten refinancing and rollover vulnerability during global interest rate shocks.
- **Key Components:** Commercial borrowings (ECBs), Non-Resident Indian (NRI) deposits, and short-term trade credits constitute the largest shares. Sovereign external debt accounts for less than 20% of total external debt.
- **Currency Composition:** The **US Dollar** constitutes the predominant currency of denomination of India's external debt (exceeding 50%), followed by the Indian Rupee, SDRs, and Japanese Yen.

Q-EC4. UPPCS (Pre) 2024

List-I contains the names of countries, whereas List-II shows the Rank as remittances received in the year 2022.

Match List-I with List-II and choose the correct answer using the codes given below the lists:

List-I (Country)	List-II (Rank)
A. Mexico	1. First
B. China	2. Second
C. India	3. Third
D. Philippines	4. Fourth

A. 4 1 2 3 B. 2 3 1 4 C. 3 4 2 1 D. 1 2 3 4

Show answer

Explanation: According to the World Bank Migration and Development Brief for 2022, the ranking of top remittance-receiving countries was: 1st - India, 2nd - Mexico, 3rd - China, and 4th - Philippines. Matching with List-I: Mexico (A) is 2nd (2); China (B) is 3rd (3); India (C) is 1st (1); Philippines (D) is 4th (4). This produces the match code 2 3 1 4.

Ans: B. 2 3 1 4

9.4 Trade Barriers, World Trade Organization (WTO), and Global Integration

Tariff and Non-Tariff Barriers

- **Tariffs:** Taxes, duties, or custom levies imposed on imported physical products at international entry ports. Tariffs raise the domestic market price of foreign goods, protecting domestic industries and generating fiscal revenue.
- **Non-Tariff Barriers (NTBs):** Institutional or regulatory policy measures other than ordinary customs tariffs that restrict cross-border trade:
- **Import Quotas:** Quantitative physical caps on the volume of specific commodities permitted into the country during a period.
- **Import Licensing:** Discretionary administrative requirements mandating special authorization to import goods.
- **Sanitary and Phytosanitary (SPS) Measures:** Food safety, animal, and plant health standards designed to prevent pest and pathogen contamination.
- **Technical Barriers to Trade (TBT):** Product technical specifications, testing procedures, packaging rules, and safety conformity standards.

World Trade Organization (WTO) — Architecture, Agreements, and Summitry

- **Historical Genesis:**
- Originated from the General Agreement on Tariffs and Trade (GATT, 1947), negotiated during the Geneva Conference.
- The **Uruguay Round (1986–1994)** culminated in the draft submitted by Director-General Arthur Dunkel ("Dunkel Draft") and the signing of the historic **Marrakesh Agreement** on 15 April 1994 in Morocco.
- Officially established and operationalized on **1 January 1995**, superseding GATT 1947 as a permanent, formal international organization.
- **Headquarters & Leadership:**
- Permanent Secretariat: Centre William Rappard, **Geneva, Switzerland**.
- Current Director-General: **Dr. Ngozi Okonjo-Iweala** (Nigeria; assumed office March 2021; first woman and first African to serve as WTO Director-General).
- Current Membership: **166 member states and customs territories** representing over 98% of global commerce. At the 13th Ministerial Conference (2024), **Comoros (165th)** and **Timor-Leste (166th)** were formally inducted into the WTO.

- **Governance and Decision-Making:**
- Operates on a pure **consensus-based** principle (*One Member, One Vote*), in stark contrast to the weighted financial quota voting of the IMF and World Bank.
- **Ministerial Conference (MC):** The supreme decision-making body, mandated to convene at least once every two years, attended by trade and commerce ministers of all member states.
- **General Council:** Stationed permanently in Geneva, managing day-to-day operations between Ministerial Conferences; it convenes in two specialized executive avatars:
    1. **Dispute Settlement Body (DSB):** Administers dispute panels and Appellate Body proceedings.
    2. **Trade Policy Review Body (TPRB):** Conducts periodic reviews of member states' national trade policies.

Core Non-Discrimination Principles

1. **Most-Favoured-Nation (MFN) Rule (Article I of GATT 1994):** Any tariff concession, customs advantage, or commercial privilege granted to any country must be accorded immediately and unconditionally to all other WTO member nations. Key exceptions: Regional Trade Agreements (RTAs/FTAs under Article XXIV) and Generalized System of Preferences (GSP) for developing countries.
2. **National Treatment Principle (Article III of GATT 1994):** Foreign imported goods, once they have cleared customs ports and paid applicable border tariffs, must receive equal treatment compared to domestically manufactured goods in internal taxes (e.g., GST), domestic logistics, and domestic market sales regulations.
3. **General Prohibition of Quantitative Restrictions (Article XI):** Quotas and import/export bans are forbidden, requiring members to manage trade protection solely through transparent customs tariffs.

Core Multilateral Agreements Architecture

- **Multilateral Agreements on Trade in Goods (GATT 1994):** Encompasses agreements on customs valuation, anti-dumping duties, Subsidies and Countervailing Measures (SCM), Pre-shipment Inspection, and:
- **Agreement on Agriculture (AoA):** Classifies farm subsidies into **Green Box** (non-distorting, unrestricted), **Blue Box** (production-limiting, exempt), and **Amber Box** (trade-distorting, capped by *de-minimis* ceilings of 5% for developed nations and 10% for developing nations).
- **Trade Facilitation Agreement (TFA):** Adopted at the 2013 Bali Ministerial Conference; entered into legal force in February 2017 to streamline border customs clearance, speed transit of goods, and digitize port logistics.
- **Agreement on Fisheries Subsidies:** Adopted at MC-12 (Geneva, 2022); curbs harmful government subsidies to Illegal, Unreported, and Unregulated (IUU) marine fishing.
- **General Agreement on Trade in Services (GATS):** Governs trade in invisible commercial services across four recognized modes of supply:
- **Mode 1 — Cross-Border Supply:** Service crosses the frontier while provider and consumer remain in their home countries (e.g., BPO IT software delivered electronically from India to clients in Europe or North America).
- **Mode 2 — Consumption Abroad:** Consumer travels to the territory of another member to consume the service (e.g., international tourism, medical value travel to India, overseas higher education).

- **Mode 3 — Commercial Presence:** A foreign service supplier establishes an incorporated business presence or commercial affiliate in the host country (e.g., a foreign multinational bank opening branches or a hospital chain investing in India).
- **Mode 4 — Presence of Natural Persons:** An individual provider travels abroad temporarily to deliver a professional service (e.g., Indian software consultants, corporate accountants, or doctors deployed on short-term overseas project contracts).
- **Trade-Related Aspects of Intellectual Property Rights (TRIPS):** Sets binding minimum standards for intellectual property protection across 7 categories (Patents, Copyrights, Trademarks, Geographical Indications, Industrial Designs, Integrated Circuit Layouts, Undisclosed Information/Trade Secrets):
- **Patent Protection:** Mandates minimum **20-year patent protection** across all fields of technology for both product and process inventions.
- **Compulsory Licensing & Public Health:** Affirmed by the landmark **Doha Declaration on TRIPS and Public Health (2001)**, allowing sovereign governments to issue compulsory licenses to generic manufacturers during public health emergencies.
- **Anti-Evergreening:** Supported by domestic statutes such as Section 3(d) of the Indian Patents Act, which disallows patent extensions for minor molecular modifications lacking enhanced therapeutic efficacy.
- **Trade-Related Investment Measures (TRIMS):** Restricts host-country investment regulations that distort trade in goods, expressly prohibiting domestic content requirements (mandating minimum use of locally produced materials) and trade-balancing conditions.
- **Dispute Settlement Mechanism (DSM):** Provides legal arbitration through panels and a 7-member **Appellate Body**. Since December 2019, the Appellate Body has remained inoperative because the United States blocked appointments of new judges upon retirement, depriving it of the mandatory 3-judge quorum. To bypass this, the European Union, China, and partner states established the voluntary **Multi-Party Interim Appeal Arbitration Arrangement (MPIA)**.

Master Chronology of WTO Ministerial Conferences (MC-1 to MC-14)

Conference	Year	Host City & Nation	Key Policy Outcome & High-Yield Exam Takeaway
MC-1	**1996**	**Singapore**	First Ministerial Conference; introduced the **Four Singapore Issues**: Investment, Competition Policy, Transparency in Government Procurement, and Trade Facilitation.
MC-2	**1998**	**Geneva, Switzerland**	Marked the 50th anniversary of GATT 1947; adopted the landmark **Declaration on Global Electronic Commerce**, establishing a temporary customs duty moratorium on electronic transmissions.

Conference	Year	Host City & Nation	Key Policy Outcome & High-Yield Exam Takeaway
MC-3	**1999**	**Seattle, United States**	The "Battle of Seattle" — crippled by massive anti-globalization street demonstrations and deep North–South policy deadlocks; ended without a ministerial declaration.
MC-4	**2001**	**Doha, Qatar**	Launched the **Doha Development Agenda (DDA)**; adopted the historic **Declaration on TRIPS and Public Health** (empowering compulsory licensing for public health); approved accessions of **China** and Chinese Taipei.
MC-5	**2003**	**Cancún, Mexico**	Developing nations formed the **G20 coalition on agriculture** (led by India, Brazil, and China) resisting developed nations' farm subsidies; three controversial Singapore issues were officially dropped (only Trade Facilitation was retained).
MC-6	**2005**	**Hong Kong**	Agreement reached to phase out all agricultural export subsidies by 2013; recognized the **Special Safeguard Mechanism (SSM)** for developing nations to defend domestic farmers against import surges.
MC-7	**2009**	**Geneva, Switzerland**	First ministerial following the 2008 global financial crisis; focused on resisting rising protectionism.
MC-8	**2011**	**Geneva, Switzerland**	Approved terms of accession for the **Russian Federation**, Samoa, and Montenegro.
MC-9	**2013**	**Bali, Indonesia**	The landmark **Bali Package**: Adopted the **Trade Facilitation Agreement (TFA)**; negotiated the **Peace Clause** protecting developing nations' public stockholding of food grains for food security (NFSA) against WTO Amber Box penalties.
MC-10	**2015**	**Nairobi, Kenya**	**First WTO Ministerial Conference held on African soil**; adopted the Nairobi Package, legally binding developed countries to immediately eliminate all agricultural export subsidies.
MC-11	**2017**	**Buenos Aires, Argentina**	**First WTO Ministerial held in South America**; plurilateral Joint Statement Initiatives (JSIs) launched on e-commerce, investment facilitation, and MSMEs.
MC-12	**2022**	**Geneva, Switzerland**	Postponed from Kazakhstan due to COVID-19. Adopted the **Geneva Package**: landmark Agreement on **Fisheries Subsidies** (curbing IUU fishing); partial TRIPS patent waiver for COVID-19 vaccines; World Food Programme (WFP) purchases exempted from food export bans.

Conference	Year	Host City & Nation	Key Policy Outcome & High-Yield Exam Takeaway
MC-13	**2024**	**Abu Dhabi, United Arab Emirates (UAE)**	Convened from 26 Feb to 1 Mar 2024, chaired by Dr. Thani bin Ahmed Al Zeyoudi. **Extended the moratorium on electronic transmissions** until MC-14; formally inducted **Comoros (165th)** and **Timor-Leste (166th)** as new WTO member states; **formally selected Cameroon to host the 14th Ministerial Conference**.
MC-14	**2026**	**Yaoundé, Cameroon**	**Second WTO Ministerial Conference in history to be hosted on African soil** (following MC-10 Nairobi in 2015); formally awarded to Cameroon at MC-13 in Abu Dhabi. Core agenda: Comprehensive dispute settlement mechanism restoration, permanent solution for public stockholding for food security, and digital commerce rules.

Q-EC5. UKPCS (Pre) 2021

The World Trade Organisation (WTO) is sometimes criticised for all of the following reasons except that:

A. it has no way to solve trade disputes among member nations. B. it is puppet of multinational corporations. C. it reduces the sovereignty of member countries. D. it favours free trade over the quality of products.

Show answer

Explanation: A defining structural achievement of the World Trade Organization is its institutionalized Dispute Settlement Mechanism (DSM), administered by the Dispute Settlement Body (DSB). The WTO possesses a formal, binding legal procedure to arbitrate and resolve commercial disputes among member governments. Therefore, stating that the WTO "has no way to solve trade disputes" is factually incorrect and represents an invalid criticism.

Ans: A. it has no way to solve trade disputes among member nations.

Q-EC6. UKPCS (Pre) 2025

The 13th WTO Ministerial Conference (MC-13) was held in

A. Geneva B. Abu Dhabi C. Nairobi D. Bali

Show answer

Explanation: The 13th Ministerial Conference (MC-13) of the World Trade Organization was held in Abu Dhabi, United Arab Emirates, from 26 February to 1 March 2024. While the permanent headquarters of the WTO is in Geneva, its Ministerial Conferences rotate among member nations.

Ans: B. Abu Dhabi

Q-EC6B. High-Yield Forecast Practice Question — WTO MC-14 Host Nation

Which country was officially chosen at the 13th Ministerial Conference in Abu Dhabi to host the 14th WTO Ministerial Conference (MC-14) scheduled for 2026?

A. Kenya
B. Cameroon
C. South Africa
D. Brazil

Show answer

Explanation: At the conclusion of the 13th Ministerial Conference (MC-13) held in Abu Dhabi (UAE) in March 2024, the WTO General Council and member nations accepted the offer of the Government of Cameroon to host the **14th WTO Ministerial Conference (MC-14) in Yaoundé, Cameroon in 2026**. Cameroon becomes only the second African country after Kenya (MC-10 in Nairobi, 2015) to host a WTO Ministerial Conference.

Ans: B. Cameroon

9.5 Foreign Exchange Regulatory Architecture — FERA (1973) and FEMA (1999)

India's external economic legal framework transitioned in 1999 from a rigid, penal foreign exchange control model to a modern, market-friendly foreign exchange management model.

Foreign Exchange Regulation Act (FERA, 1973)

- **Historical Context:** Enacted in **1973** in the backdrop of severe foreign exchange reserves scarcity and strict import licensing under the command economy.
- **Regulatory Philosophy:** Regulated all dealings in foreign currency, foreign securities, and cross-border payments with a criminal-penal orientation.
- **Strict Presumption:** Treated unauthorized foreign exchange transactions as criminal violations, carrying the presumption of guilty mind (mens rea) and subjecting offenders to imprisonment.
- **Core Distinction:** FERA was not primarily an external debt liability statute; it was a foreign exchange rationing and conservation statute.

Foreign Exchange Management Act (FEMA, 1999)

- **Legislative Timeline:**
- Enacted by Parliament as **Act 42 of 1999**.
- Formally brought into legal force on **1 June 2000**, officially repealing FERA 1973.
- **Stated Objectives:** To consolidate and amend the law relating to foreign exchange with the objective of facilitating external trade and payments and promoting the orderly development and maintenance of foreign exchange markets in India.
- **Decriminalization:** Removed the penal-criminal regime of FERA. Under FEMA, contraventions are treated as **civil offenses** attracting compounding and financial penalties, with imprisonment invoked only for willful non-payment of assessed penalties.

- **Authorized Persons:** All legitimate foreign exchange dealings are routed through authorized persons (banks and authorized foreign exchange dealers licensed by the RBI).
- **Institutional Administration:**
- The **Reserve Bank of India (RBI)** administers regulatory policies, capital flows, and permitted transaction frameworks.
- The **Directorate of Enforcement (ED)** investigates civil contraventions of FEMA provisions under the Department of Revenue, Ministry of Finance.

Q-EC7. UKPCS (Pre) 2024

In which year did the Foreign Exchange Management Act (FEMA) come into existence?

A. 1973 B. 1980 C. 1998 D. 1999

Show answer

Explanation: The Foreign Exchange Management Act (FEMA) was passed by the Parliament of India in 1999 (Act 42 of 1999) to replace the earlier Foreign Exchange Regulation Act (FERA, 1973). It subsequently came into force on 1 June 2000.

Ans: D. 1999

Q-EC8. UKPCS (Pre) 2025

Consider the following statements:

1. FEMA came into effect from June 1, 2000.
2. FERA is mainly for external debt liability.

A. Both are correct and (2) explains (1) B. Both are correct but (2) does not explain (1) C. (1) is true, (2) is false D. (1) is false, (2) is true

Show answer

Explanation: Statement 1 is correct: The Foreign Exchange Management Act (FEMA), 1999, was formally notified and brought into effect on 1 June 2000. Statement 2 is incorrect: FERA (1973) was enacted to regulate and conserve foreign exchange resources and prevent unauthorized cross-border transactions; it was not designed as an external debt liability statute.

Ans: C. (1) is true, (2) is false
